

FRANTIC FUSIONS

Study Guide



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Introduction

Two companies rarely come together quietly. Behind every merger announcement is a scramble of hidden numbers, last minute disclosures, rival bidders circling the same target, and a boardroom that has to be talked into trusting a deal it didn't ask for. Frantic Fusions puts delegates directly into that scramble, where they would value companies under time pressure, sit in front of hostile boards, and defend their decisions.

Round 1: Due Diligence

Delegate Cap: 3

Duration: 2 Hours

Delegates would be assigned a target company profile with a data room containing crucial information. They would have to build a valuation of the target company, identify the hidden risks and submit a one-page due diligence memo.

Submission Method:

Delegates would submit the memo in writing without using digital aids.

Judging Criteria:

- Accuracy and soundness of valuation method
- Number and depth of risks currently identified
- Clarity and professionalism of the memo
- Justification of the recommended offer price
- Time management

Note: This is an elimination round.

Round 2: Negotiation Tables

Delegate Cap: 2

Duration: 2 Hours

Delegates would sit across from the 'selling side' and negotiate the acquisition of their target company.

Submission Method:

Delegates would submit a signed term sheet or a documented walk-out digitally.

Judging Criteria:

- Negotiation Strategy and composure in the sessions.
- Ability to defend and justify initial valuations without overpaying.
- Adaptability to new information.
- Deal structure and clarity of final terms.
- Knowing when to walk out and its justification (if chosen, that is).

Round 3: The Boardroom

Delegate Cap: 2

Duration: 2 Hours and 30 Minutes

Delegates would now justify their walk-out from the merger or get approval for it from a skeptical board of directors and shareholders in a 15-minute presentation with questioning on any aspect of the proposed deal.

Presentations must include a strategic rationale for the acquisition, the valuation and deal terms secured in Round 2, an integration plan, an expected return on investment, and any risk mitigation for the issues uncovered in due diligence. Submission Method: Delegates would submit a copy of their presentations before the round begins.

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Judging Criteria:

- Strength of strategic rationale
- Financial soundness of the final deal*
- Quality and realism of the integration plan
- Justification for walking out*
- Composure and persuasiveness under cross-examination
- Consistency with Rounds 1 and 2

Note: Teams that walked out in Round 2 would defend that decision, and their judging would be weighted more towards rationale, consistency, and composure.